Finance Paper Digest Generated: 2026-07-24 20:27 Date: 2026-04_05

Total: 71 papers (71 with abstract, 71 with PDF)

Contents

The Journal of Finance

1. Corporate M&As and Labor Market Concentration: Efficiency Gains or Power Grabs?

Authors: DAVID CICERO, MO SHEN, JAIDEEP SHENOY
DOI: 10.1111/jofi.70035

Fields & Theories:

- **Fields:** Corporate Finance, M&A, Labor Economics
- **Theories:** Efficiency Gains, Market Power, Real Effects

Abstract:

Mergers of firms that share labor markets increase labor market concentration which can lead to labor efficiency gains and/or create labor market power for the merged firms. Using a novel measure based on establishment-level employment data, we find that merger-induced increases in labor market concentration explain value creation in a sample of completed U.S. public firm mergers from 1991 to 2016. Analysis of the stock market reactions of rival, supplier, and customer firms, as well as firm- and establishment-level real effects in the merging firms, supports a labor efficiency explanation of these merger gains.

`CICERO - Corporate M&As and Labor Market Concentration Efficiency Gains or Power Grabs.pdf`

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2. Leader-Follower Dynamics in Shareholder Activism

Authors: DORUK CETEMEN, GONZALO CISTERNAS, AARON KOLB, S. VISWANATHAN
DOI: 10.1111/jofi.70033

Fields & Theories:

- **Fields:** Corporate Governance, Asset Pricing, Information Asymmetry
- **Theories:** Shareholder Activism, Strategic Trading, Free-rider Problem, Coordination Games

Abstract:

We propose a theory of coordination and influence among blockholders. Privately informed activists time their trades in sequence to lower acquisition costs, prompting a strategic use of order flows: leader activists create trading gains for their followers, ultimately influencing their willingness to bear greater value-enhancing intervention costs. Through this channel, informed trades can exhibit predictability, in sharp contrast with Kyle (1985, Econometrica 53, 1315–1335). We explain how this novel predictability shapes free-rider problems affecting governance, and how it produces price abnormalities analogous to those documented empirically. We also uncover how private information interdependence can be a key catalyst for the mechanism studied.

`CETEMEN - Leader-Follower Dynamics in Shareholder Activism.pdf`

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3. Size, Returns, and Value: Do Private Equity Firms Allocate Capital According to Manager Skill?

Authors: REINER BRAUN, NILS DORAU, TIM JENKINSON, DANIEL URBAN
DOI: 10.1111/jofi.70036

Fields & Theories:

- **Fields:** Corporate Finance, Private Equity, Asset Management
- **Theories:** Managerial Skill, Internal Capital Allocation, Scale and Returns

Abstract:

Using a novel data set linking private equity (PE) deals to individual managers, we document evidence of manager skill in terms of generating net present value (NPV), a performance measure that captures both scale and returns. PE firms have strong economic incentives to raise larger funds and execute larger deals.

While relative returns decline with scale, NPV persists and even increases. Skilled managers are entrusted with more capital and achieve better career outcomes, and approximately 40% of NPV is attributable to internal capital allocation decisions. These findings highlight the role of PE firms in creating value through performance-based capital deployment.

`BRAUN - Size, Returns, and Value Do Private Equity Firms Allocate Capital According to M.pdf`

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4. Deposit Franchise Runs

Authors: ITAMAR DRECHSLER, ALEXI SAVOV, PHILIPP SCHNABL, OLIVIER WANG
DOI: 10.1111/jofi.70034

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Financial Stability
- **Theories:** Bank Runs, Franchise Value, Interest Rate Risk

Abstract:

The deposit franchise is valuable because banks pay below-market deposit rates. However, if depositors leave, its value vanishes. This can trigger runs by uninsured depositors, even if banks hold fully liquid assets. Because the franchise value increases with interest rates, runs are more harmful, and hence likelier, when rates are high. Banks can deter runs by shortening asset duration, but this risks insolvency if rates fall. Avoiding both runs and insolvency requires capital covering the potential loss of the uninsured deposit franchise. We estimate deposit franchise values and use them to identify vulnerable banks during the 2023 regional bank crisis.

`DRECHSLER - Deposit Franchise Runs.pdf`

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5. The (Missing) Relation between Acquisition Announcement Returns and Value Creation

Authors: ITZHAK BEN-DAVID, UTPAL BHATTACHARYA, RUIDI HUANG, STACEY JACOBSEN
DOI: 10.1111/jofi.70038

Fields & Theories:

- **Fields:** Corporate Finance, Mergers and Acquisitions
- **Theories:** Efficient Market Hypothesis, Event Study Methodology, Information Asymmetry

Abstract:

Cumulative abnormal returns (CARs) computed around acquisition announcements are widely considered to be market-based assessments of expected value creation. We show, however, that announcement returns do not correlate with commonly used and new measures of ex post outcomes. A simple characteristics-based model using standard information known at the announcement date can predict these outcomes reasonably well, yet CAR even fails to capture the predictions from this model. Evidence suggests that information about the stand-alone acquirer dominates CAR, making it virtually impossible to extract deal-related information. We conclude that CAR is an unreliable measure of expected value creation.

`BEN-DAVID - The (Missing) Relation between Acquisition Announcement Returns and Value Creati.pdf`

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6. Funding Black High-Growth Startups

Authors: LISA D. COOK, MATT MARX, EMMANUEL YIMFOR
DOI: 10.1111/jofi.70039

Fields & Theories:

- **Fields:** Corporate Finance, Venture Capital, Entrepreneurial Finance

- **Theories:** Information Asymmetry, Screening Discrimination, Network Theory

Abstract:

We classify the race of over 160,000 U.S. founders and investors and study the venture capital (VC) funding gap for Black entrepreneurs. Only 3.1% of VC-funded startups are Black-owned, and they raise half as much VC funding as others. We attribute much of this gap to Black founders having fewer traditional success markers, like patents or entrepreneurial experience. This disparity also affects matching: Black VC partners invest more in Black founders, and these investments have higher successful exit rates. We attribute this outperformance to lower information asymmetries due to network overlap and "screening discrimination," whereby Black VCs better differentiate among Black founders.

`COOK - Funding Black High-Growth Startups.pdf`

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7. The Effect of Advisors' Incentives on Clients' Investments

Authors: DIEGO BATTISTON, JORDI BLANES I VIDAL, RAFAEL HORTALA-VALLVE, DONG LOU
DOI: 10.1111/jofi.70041

Fields & Theories:

- **Fields:** Household Finance, Financial Intermediation, Asset Management, Financial Regulation
- **Theories:** Principal-Agent Theory, Natural Experiment, Incentives, Portfolio Theory

Abstract:

We use granular data from an investment firm and a credible identification strategy to estimate the effect of financial advisors' incentives on client investments. Exploiting a natural experiment triggered by the 2018 implementation of Markets in Financial Instruments Directive II (MiFID II), we find that clients' investments respond strongly to changes in advisor incentives. Advisors react through multiple mechanisms: (i) inducing existing clients to bring in new money, (ii) channeling it to high-incentive funds, and (iii) attracting more new clients. We also find that the MiFID II reform generated more balanced incentives, which translated into higher portfolio efficiency through lower average fees and stronger portfolio diversification.

`BATTISTON - The Effect of Advisors' Incentives on Clients' Investments.pdf`

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8. Learning in the Limit: Income Inference from Credit Extensions

Authors: XIAO YIN
DOI: 10.1111/jofi.70040

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Financial Intermediation
- **Theories:** Signaling Theory, Randomized Controlled Trial, Permanent Income Hypothesis

Abstract:

Combining a randomized controlled trial with administrative and survey data, this paper shows that credit limit extensions significantly increase total spending and income expectations. By controlling for changes in personal income expectations, the spending response to credit limit extensions weakens by approximately 30%. For financially unconstrained consumers, expectation changes account for around two-thirds of the spending responses to limit extensions. These findings are consistent with consumers inferring future income from credit supply.

`YIN - Learning in the Limit Income Inference from Credit Extensions.pdf`

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9. Partisan Entrepreneurship

Authors: JOSEPH ENGELBERG, JORGE GUZMAN, RUNJING LU, WILLIAM MULLINS
DOI: 10.1111/jofi.70042

Fields & Theories:

- **Fields:** Entrepreneurship, Behavioral Finance, Political Economy
- **Theories:** Belief Formation, Political Risk

Abstract:

> Republicans start more firms than Democrats. In a sample of 40 million party-identified Americans between 2005 and 2017, we find that 5.5% of Republicans and 3.7% of Democrats become entrepreneurs. This partisan entrepreneurship gap is time-varying—Republicans increase their relative entrepreneurship during Republican administrations and decrease it during Democratic administrations, amounting to a partisan reallocation of 170,000 new firms over our 13-year sample. We find sharp changes in partisan entrepreneurship around the elections of President Obama and President Trump, with the strongest effects among the most politically active partisans: those that donate and vote.

`ENGELBERG - Partisan Entrepreneurship.pdf`

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10. Risk-Free Rates and Convenience Yields around the World

Authors: William Diamond, Peter Van Tassel
DOI: 10.1111/jofi.70045

Fields & Theories:

- **Fields:** Asset Pricing, International Finance, Financial Intermediation
- **Theories:** Covered Interest Parity, Convenience Yield, Arbitrage Theory, General Equilibrium

Abstract:

> We infer risk-free rates from index option prices to estimate safe asset convenience yields in 10 G11 currencies. Countries' convenience yields increase with the level of their interest rates, with U.S. convenience yields fifth largest. During financial crises, convenience yields grow, but the difference between United States and foreign convenience yields generally does not. Covered interest parity (CIP) deviations using our option-implied rates are a similar size between the United States and each other country. A model in which convenience yields depend on domestic financial intermediaries, but CIP deviations reflect the funding costs of international arbitrageurs financed with dollar-denominated debt, explains these results.

`Diamond - Risk-Free Rates and Convenience Yields around the World.pdf`

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11. The Equilibrium Effects of Eviction Policies

Authors: BOAZ ABRAMSON
DOI: 10.1111/jofi.70046

Fields & Theories:

- **Fields:** Real Estate Finance, Household Finance, Public Finance
- **Theories:** Dynamic General Equilibrium, Welfare Analysis, Moral Hazard

Abstract:

> I propose a dynamic equilibrium model of rental markets that endogenously gives rise to defaults on rents and evictions. In the model, eviction protections make it harder to evict delinquent renters, but higher default costs to landlords increase equilibrium rents. I quantify the model using micro data on evictions, rents, and homelessness. I find that stronger eviction protections exacerbate housing insecurity and lower welfare. The key empirical driver of this result is the persistent nature of risk underlying rent delinquencies. Rental assistance reduces housing insecurity and improves welfare because it lowers the likelihood that renters default ex ante.

`ABRAMSON - The Equilibrium Effects of Eviction Policies.pdf`

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12. Consumption in Asset Returns

Authors: SVETLANA BRYZGALOVA, JIANTAO HUANG, CHRISTIAN JULLIARD
DOI: 10.1111/jofi.70044

Fields & Theories:

- **Fields:** Asset Pricing, Macro-Finance
- **Theories:** Recursive Utility, Consumption-based CAPM, Stochastic Volatility

Abstract:

Using information in returns, we identify the stochastic process of consumption. We find that aggregate consumption reacts over multiple quarters to innovations spanned by financial markets. This persistent component accounts for over a quarter of consumption variation. These shocks command a large and significant risk premium, driving a large share of stocks' and a small yet significant fraction of bonds' time-series variation. Nevertheless, we find no support for stochastic volatility of consumption driving time-varying risk premia. Finally, an otherwise standard recursive utility model based on our estimated process explains equity premium and risk-free rate puzzles with low-risk aversion.

`BRYZGALOVA - Consumption in Asset Returns.pdf`

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13. The Drivers and Implications of Retail Margin Trading

Authors: JIANGZE BIAN, ZHI DA, ZHIGUO HE, DONG LOU, KELLY SHUE, HAO ZHOU
DOI: 10.1111/jofi.70049

Fields & Theories:

- **Fields:** Behavioral Finance, Household Finance, Market Microstructure
- **Theories:** Lottery Preferences, Leverage Constraints, Margin Calls

Abstract:

Using granular data covering both regulated (brokerage-financed) and unregulated (shadow-financed) margin accounts in China, we provide novel evidence on retail investors' margin trading behavior and its price implications. We first show that retail investors' decisions to lever up in stock trading despite the hefty borrowing cost is related to their lottery preferences. We then show that margin borrowing affects investors' trading behavior—investors are more likely to liquidate their holdings as they approach margin calls. Finally, we show that margin-induced trading aggregates to affect asset prices and contributes to shock spillovers across stocks (e.g., from lottery stocks to nonlottery stocks).

`BIAN - The Drivers and Implications of Retail Margin Trading.pdf`

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14. Bank Competition Amid Digital Disruption: Implications for Financial Inclusion

Authors: ERICA XUEWEI JIANG, GLORIA YANG YU, JINYUAN ZHANG
DOI: 10.1111/jofi.70051

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Fintech
- **Theories:** Industrial Organization, Structural Modeling, Digital Divide

Abstract:

We examine how digital disruption affects bank competition using the staggered rollout of 3G mobile networks. 3G expansion increased mobile banking adoption among tech-savvy households, reducing branch networks—especially in younger counties. Banks' strategies diverged: Less branch-reliant banks closed branches and competed on price, while more branch-reliant banks maintained branches but raised spreads. A structural model shows that perceived digital service improvements among younger consumers drove these shifts, reducing welfare for older savers. Counterfactuals demonstrate that subsidizing adoption for

older savers can cost-effectively reduce these disparities, facilitating a smoother digital transition.

`JIANG - Bank Competition Amid Digital Disruption Implications for Financial Inclusion.pdf`

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15. Why Have CEO Pay Levels Become Less Diverse?

Authors: TORSTEN JOCHEM, GAIZKA ORMAZABAL, ANJANA RAJAMANI
DOI: 10.1111/jofi.70050

Fields & Theories:

- **Fields:** Corporate Finance, Financial Regulation, Executive Compensation
- **Theories:** Agency Theory, Benchmarking, Institutional Theory

Abstract:

This paper documents a new stylized fact: the cross-sectional variation in CEO pay levels has declined precipitously in recent years. We offer one explanation for this decline, namely, firms are increasingly benchmarking CEO compensation to industry peers closest in size, thereby creating pay clusters. Our empirical tests provide support for this explanation and suggest that the rise of industry-size benchmarking is driven by three institutional factors: the mandatory disclosure of compensation peer groups, proxy advisory influence, and say-on-pay regulation. Our findings highlight a consequence of adopting a one-size-fits-all standard in the pay-setting process.

`JOCHEM - Why Have CEO Pay Levels Become Less Diverse.pdf`

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16. Investing with Purpose: Evidence from Private Foundations

Authors: MATTEO BINFARÈ, KYLE E. ZIMMERSCHIED
DOI: 10.1111/jofi.70055

Fields & Theories:

- **Fields:** Asset Pricing, Institutional Finance, Monetary Policy
- **Theories:** Portfolio Theory, Risk-Adjusted Returns, Reach for Yield

Abstract:

We study the asset allocation and investment performance of U.S. private foundations that support the charitable sector. Large foundations generated positive risk-adjusted returns before 2008, driven by early access to private equity and venture capital funds, but have underperformed since. The median foundation underperforms by more than 100 bps. Foundations with concentrated stock holdings achieve higher returns but assume more risk. Due to the constraints imposed by the 5% minimum spending rule and accommodating monetary policy, foundations increase risk-taking and reach for yield. Over time, a conservative asset allocation decreases real wealth, reducing charitable giving.

`BINFARÈ - Investing with Purpose Evidence from Private Foundations.pdf`

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17. Quote Competition in Corporate Bonds

Authors: TERRENCE HENDERSHOTT, DAN LI, DMITRY LIVDAN, NORMAN SCHÜRHOFF, KUMAR VENKATARAMAN
DOI: 10.1111/jofi.70048

Fields & Theories:

- **Fields:** Market Microstructure, Fixed Income, Financial Intermediation
- **Theories:** Inventory Management Theory, Search Theory, Information Asymmetry

Abstract:

Dealer quotes in corporate bonds, though indicative, lower trading costs and increase trading volume. Dealers offering higher quality quotes attract more order flow and execute trades at favorable prices. Dealers advertise quotes to manage their inventories and attract orders from nonrelationship clients. However, quote competition is imperfect. The best quotes often fail to attract orders, and trade-throughs are common. Nevertheless, quote competition is important as clients exploit quotes from other dealers in negotiations, forcing dealers with lower quality quotes to offer price improvements. Quoting is not a zero-sum game, as more active bond-level quoting leads to more bond-level trading.

`HENDERSHOTT - Quote Competition in Corporate Bonds.pdf`

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18. Hedger of Last Resort: Evidence from Brazilian FX Interventions, Local Credit, and Global Financial Cycles

Authors: RODRIGO BARBONE GONZALEZ, DMITRY KHAMETSHIN, JOSÉ-LUIS PEYDRÓ, ANDREA POLO
DOI: 10.1111/jofi.70054

Fields & Theories:

- **Fields:** International Finance, Monetary Policy, Financial Intermediation, Banking
- **Theories:** Moral Hazard, Global Financial Cycle, Hedging Channel, Natural Experiment

Abstract:

We show that FX interventions can be effective, particularly in attenuating global financial spillovers. We exploit global financial shocks and Brazilian central bank interventions in FX derivatives using three matched administrative registers: bank credit (to firms), foreign credit to banks, and employer-employees. After the U.S. Taper Tantrum (followed by emerging markets' FX turbulence), Brazilian banks with more foreign debt cut credit supply, reducing firm-level employment. A subsequent large policy intervention supplying derivatives against FX risks —hedger of last resort —halved the negative effects. A 2008 to 2015 panel exploiting global FX shocks and local FX interventions confirms the results and the hedging channel. However, the FX policy entails fiscal and moral hazard costs.

`GONZALEZ - Hedger of Last Resort Evidence from Brazilian FX Interventions, Local Credit, an.pdf`

Journal of Financial and Quantitative Analysis

1. Why Do Bank Boards Have Risk Committees?

Authors: René M. Stulz, James Tompkins, Rohan Williamson, Zhongxia (Shelly) Ye
DOI: 10.1017/s0022109026102816

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Governance, Financial Regulation
- **Theories:** Agency Theory, Monitoring, Regulatory Mandate

Abstract:

While the Dodd–Frank Act (DFA) mandates board risk committees for large banks, we argue that such committees do not benefit all banks. Banks forced by the DFA to adopt a board risk committee do not experience a reduction in risk following adoption. In contrast, banks that voluntarily established risk committees before the DFA exhibit lower risk, especially when these committees possess greater risk expertise. Using unique interview data, we find that board risk committees serve as active monitors rather than merely rubber-stamping management proposals. However, regulatory-mandated tasks limit their monitoring role.

`Stulz - Why Do Bank Boards Have Risk Committees.pdf`

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2. Attentive Options Traders: Textual Changes to 10-Ks and Option Volatility Smirk

Authors: Hua Cheng, Steve Liu, Zheng Qiao, Z. Jay Wang
DOI: 10.1017/s0022109026102804

Fields & Theories:

- **Fields:** Derivatives, Asset Pricing, Information Economics
- **Theories:** Information Efficiency, Limits to Arbitrage, Volatility Smirk

Abstract:

In contrast to the "lazy prices" phenomenon in the stock market, more 10-K textual changes lead to larger increases in volatility smirks—consistent with options traders buying more out-of-the-money put options based on negative information disclosed in textual changes. Moreover, the lazy-prices effect is mainly driven by stocks with tradable options, suggesting that limits to arbitrage lead to a delayed response of stock prices. Finally, the return predictability of textual changes is stronger for stocks with larger option volatility smirk changes. Sophisticated options traders, therefore, demonstrate superior skills at extracting relevant information from public filings.

`Cheng - Attentive Options Traders Textual Changes to 10-Ks and Option Volatility Smirk.pdf`

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3. Financial Consequences of the Belt and Road Initiative

Authors: Mehmet Ihsan Canayaz
DOI: 10.1017/s0022109026102762

Fields & Theories:

- **Fields:** International Finance, Public Finance, Capital Structure
- **Theories:** Natural Experiment, Crowding-out Effect, Political Economy

Abstract:

China's Belt and Road Initiative (BRI) aims to create economic corridors encompassing two-thirds of the world's population and 40% of global GDP. Using the inauguration of a railway tunnel between Europe and Asia as a quasi-natural experiment, I demonstrate that countries gaining access to BRI's freight routes issue significant amounts of high-yield debt. This debt is largely absorbed domestically, reallocating capital away from firms without translating into infrastructure investment. State-owned enterprises appear insulated from tightening financial conditions. I document mechanisms involving political alignment with China, exposure to trade policy uncertainty, and topographic fit based on historical Orient Express routes.

`Canayaz - Financial Consequences of the Belt and Road Initiative.pdf`

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4. Social Capital and the Boundary of the Firm: Evidence from Relationship-Specific Investments

Authors: Jarrad Harford, Xing Li, Jiaren Pang, Haibin Wu, Liu Zheng
DOI: 10.1017/s0022109026102798

Fields & Theories:

- **Fields:** Corporate Finance, Organizational Economics, Supply Chain Finance
- **Theories:** Social Capital, Hold-up Problem, Transaction Cost Economics

Abstract:

We investigate the role of social capital in mitigating hold-up problems along the supply chain. We find that supplier firms are more willing to make relationship-specific investments (proxied by their citations to customers' patents) when transacting with customers headquartered in high social capital areas. This effect is more pronounced when the potential for expropriation by the customer is greatest: when the supplier

has a weak bargaining position, faces high asset specificity, or the customer is in poor financial condition. High social capital firms are less vertically integrated and are more likely to form (longer-lasting) trading relationships with each other.

`Harford - Social Capital and the Boundary of the Firm Evidence from Relationship-Specific.`

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5. Blockchain Currency Markets

Authors: Angelo Ranaldo, Ganesh Viswanath-Natraj, Junxuan Wang
DOI: 10.1017/s0022109026102841

Fields & Theories:

- **Fields:** Market Microstructure, International Finance, FinTech
- **Theories:** Efficient Market Hypothesis, Arbitrage, Market Frictions

Abstract:

We conduct the first comprehensive study of blockchain currencies—stablecoins pegged to fiat currencies and traded on decentralized exchanges (DEXs). Using transaction-level data linked to wallet characteristics, we show that prices in these markets are generally efficient, though constrained by blockchain frictions such as gas fees and Ether volatility. DEX rates closely track traditional currency markets through arbitrage and informed trading. Traders with substantial market share and access to primary markets exert greater price impact, reflecting informational advantages. While blockchain markets may improve access for customers excluded from traditional venues, their scalability depends on addressing frictions inherent to decentralized trading.

`Ranaldo - Blockchain Currency Markets.pdf`

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6. Shaped by Confucius: The Cultural Origin of Corporate Behavior

Authors: Zhihui Gu, Hao Liang, Hanyu Zhang
DOI: 10.1017/s002210902610283x

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, International Finance
- **Theories:** Relational Contracts, Informal Institutions, Stakeholder Theory, Agency Theory

Abstract:

We examine how Confucian culture operates as an informal institution by fostering relational contracts that substitute for formal legal frameworks in shaping corporate behavior. Using data on historical Confucian academies near firms' headquarters in China, we find that greater cultural exposure is associated with higher investment in stakeholder relationships—measured by social contribution, stakeholder protection, courtesy expenses, patenting, and trade credit. These effects persist after controlling for human capital and alternative cultural influences, and weaken in regions with stronger formal institutions. Our findings highlight the enduring role of culture in supporting trust-based governance when formal contracting is limited.

`Gu - Shaped by Confucius The Cultural Origin of Corporate Behavior.pdf`

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7. Privatization and Bank Liquidity Creation

Authors: Allen N. Berger, Narjess Boubakri, Ruiyuan Chen, Omrane Guedhami, Xinming Li
DOI: 10.1017/s0022109026102853

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Public Finance
- **Theories:** Difference-in-Differences, Liquidity Creation Theory, Agency Theory, Institutional Theory

Abstract:

Building on existing views of state ownership, we examine the impact of banks' privatization on their liquidity creation, a comprehensive measure of net bank output from all portfolio items shown to have favorable economic outcomes. We apply a difference-in-differences approach to over 4,000 banks from 56 countries over 14 years. We find significant increases in liquidity creation post-privatization, consistent with expected changes in incentives, with the impact shaped by the institutional environment. However, privatization reduces liquidity creation during the global financial crisis and other banking crises. Results remain robust to a battery of robustness tests.

`Berger - Privatization and Bank Liquidity Creation.pdf`

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8. Star Firms, Information Spillovers, and Predictable Industry-Level Outcomes

Authors: Vidhi Chhaochharia, Alok Kumar, Mehrshad Motahari, Ville Rantala
DOI: 10.1017/s0022109026102610

Fields & Theories:

- **Fields:** Asset Pricing, Corporate Finance, Information Spillovers, Industrial Organization
- **Theories:** Information Asymmetry, Market Efficiency, Spillover Effects

Abstract:

We study the aggregate impact of information spillovers emerging from industry star firms. Changes in stars' relative earnings growth predict future earnings growth, consensus earnings surprises, and job postings of same-industry nonstar firms. Star-firm performance also predicts industry-level GDP and employment growth. Price markup and innovation spillovers are potential channels underlying these patterns. Our results further show that this performance predictability is not fully incorporated into nonstars' stock prices. A long–short portfolio based on star firms' earnings growth earns an annualized 6-factor alpha of 8.7%. Together, our findings provide consistent evidence of the economic importance of star firms.

`Chhaochharia - Star Firms, Information Spillovers, and Predictable Industry-Level Outcomes.pdf`

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9. Mutual Fund Strategy: Swing for the Fences or Bat for Average

Authors: John Chalmers, Arash Dayani
DOI: 10.1017/s0022109026102865

Fields & Theories:

- **Fields:** Asset Management, Mutual Funds, Investment Strategy
- **Theories:** Active Management, Risk-Taking Behavior, Fund Flow-Performance Relationship

Abstract:

We document two distinct mutual fund strategies: "Swinging for the Fences" (SF), in which managers hold stocks with extreme style-adjusted returns on either tail of the return distribution, and "Batting for Average" (BA), in which managers seek stocks with consistently moderate performance. We provide evidence that these strategies are persistent and deliberate. Existing measures of active management and known asset-pricing factors do not explain the strategies. SF attracts more flow, particularly when funds mention specific stock holdings in shareholder reports. SF funds charge higher fees and hold riskier portfolios; yet, they fail to deliver higher risk-adjusted returns. In falsification tests, SF strategies are not present in passive funds, supporting our conclusion that SF and BA are intentional strategies.

`Chalmers - Mutual Fund Strategy Swing for the Fences or Bat for Average.pdf`

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10. The Sensitivity of Cash Saving to the Cost of Capital

Authors: Viral V. Acharya, Soku Byoun, Zhaoxia Xu
DOI: 10.1017/s0022109026102877

Fields & Theories:

- **Fields:** Corporate Finance, Liquidity Management
- **Theories:** Cost of Capital, Hedging Motive, Financial Constraints, Precautionary Savings

Abstract:

We show that with a time-varying cost of capital (COC), firms save from external capital when the firm-specific COC is low to hedge against future underinvestment risks associated with a higher COC. This hedging motive drives the sensitivity of cash saving to the COC in both financially constrained and currently unconstrained firms. This sensitivity is especially pronounced among firms that face a higher COC when in need of external finance. Firms with high hedging motives issue excess capital to save cash when the COC is lower and use cash savings for future investment.

`Acharya - The Sensitivity of Cash Saving to the Cost of Capital.pdf`

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11. Intra-Household Risk Sharing in Collective Portfolio Choice Models

Authors: Joachim Inkmann, Alexander Michaelides, Yuxin Zhang
DOI: 10.1017/s0022109026102920

Fields & Theories:

- **Fields:** Household Finance, Asset Pricing
- **Theories:** Collective Model, Life-cycle Model, Risk Sharing, Portfolio Choice

Abstract:

Using a calibrated, collective life-cycle portfolio choice model for a dual-income couple, we show that an increase in the ability to share risk within the household due to a mean-preserving spread in the partners' coefficients of relative risk aversion leads to a substantial increase in financial risk-taking. Importantly, we show that risk sharing has a larger economic impact on portfolio choice than risk diversification. While unitary models usually do not fully replicate the optimal portfolio choice of collective models, we propose approximations that work reasonably well for moderate background risk. We provide strong empirical support for our key findings.

`Inkmann - Intra-Household Risk Sharing in Collective Portfolio Choice Models.pdf`

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12. Politically Polarized Depositors

Authors: Jinoug Jeung
DOI: 10.1017/s0022109026102907

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, ESG/Sustainable Finance, Behavioral Finance
- **Theories:** Market Discipline, Political Economy, Funding Constraints, Value Alignment

Abstract:

Exploiting an exogenous increase in public awareness of banks' lending to the gun industry, this article documents significant deposit outflows from gun lenders. These outflows are stronger in Democratic-leaning markets and for Republican-leaning lenders. In contrast, anti-gun lenders experience limited and insignificant outflows, consistent with policy alignment with depositor values. Outflows tighten funding constraints, prompting gun lenders to reduce deposit spreads and branches in Democratic-leaning markets. While large gun lenders remain resilient, small gun lenders significantly reduce their CRA loan volumes. The findings highlight political value misalignment as a driver of depositor behavior and its real effects on bank operations.

Jeung - Politically Polarized Depositors.pdf

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13. Betting Against the Crowd: Option Trading and Market Risk Premium

Authors: Jie Cao, Gang Li, Xintong (Eunice) Zhan, Guofu Zhou
DOI: 10.1017/s0022109026102889

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Behavioral Finance, Market Microstructure
- **Theories:** Investor Sentiment, Market Efficiency, Information Asymmetry, Return Predictability

Abstract:

We study how equity option trading affects the market risk premium. We find that a measure of aggregate call order imbalance (ACIB), defined as the cross-sectional average of the difference between open-buy and open-sell volume, negatively forecasts future stock market returns significantly from days to months. Moreover, ACIB represents an option-based investor sentiment measure that accounts for excess option buying or selling, and is highly correlated with the stock investor sentiment. Our findings shed new insights on the distinctions for call and put option trading, index and equity option trading, and cross-sectional and time-series predictions.

Cao - Betting Against the Crowd Option Trading and Market Risk Premium.pdf

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14. Do Product Market Threats Discipline Corporate Misconduct?

Authors: Jie Chen, Xunhua Su, Xuan Tian, Bin Xu, Xiaoyu Zhang
DOI: 10.1017/s0022109026102919

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Industrial Organization
- **Theories:** Agency Theory, Stakeholder Theory, Corporate Governance, Incentive Alignment

Abstract:

We examine the efficacy of product market discipline as a deterrent to corporate misconduct. Firms that are subject to greater competitive threats in the product market are less likely to commit violations and pay lower penalties. Stakeholders react negatively to various types of violations, with product market competition amplifying these stakeholder reactions. In response, firms under competitive pressure are more likely to incorporate ESG-related incentives into executive compensation, demonstrate better worker safety practices, invest in green innovation, and use credible auditors. Our findings suggest that product market competition deters misconduct by increasing the expected costs associated with violations.

Chen - Do Product Market Threats Discipline Corporate Misconduct.pdf

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15. Household Finance at the Origin: Home Ownership as a Cultural Heritage from Agriculture

Authors: Guillaume Vuillemey
DOI: 10.1017/s0022109025102524

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Economic History, Behavioral Finance
- **Theories:** Cultural Transmission, Path Dependence, Instrumental Variables, Epidemiological Approach

Abstract:

I show that home ownership decisions across countries and individuals are shaped by a cultural heritage from agriculture. For centuries, dominant assets in preindustrial economies were either land or cattle. Consequently, the type of farming prevailing locally shaped preferences and beliefs about the relative value of immovable and movable assets. This cultural heritage had long-lasting consequences. Today, individuals originating from societies with a history of crop agriculture—where the dominant asset was land—are more likely to be homeowners. For identification, I rely both on home ownership decisions of second-generation immigrants in the United States and on an instrument.

`Vuillemey - Household Finance at the Origin Home Ownership as a Cultural Heritage from Agric.pdf`

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16. Private Equity Fund Debt: Agency Costs and Cash Flow Management

Authors: James F. Albertus, Matthew Denes
DOI: 10.1017/s0022109026102890

Fields & Theories:

- **Fields:** Corporate Finance, Private Equity, Financial Intermediation
- **Theories:** Agency Theory, Moral Hazard, Information Asymmetry

Abstract:

We study the effects of private equity fund debt on cash flows, performance, and agency relationships. Funds using debt delay capital calls, boosting performance measures sensitive to cash flow timing. We find that general partners use fund debt during fundraising to increase the likelihood of raising a follow-on fund and near the hurdle rate to increase their carried interest compensation, indicating that it exacerbates agency costs. A large-scale survey of general partners and limited partners suggests that fund debt facilitates cash flow management and amplifies agency conflicts. Our results highlight that fund debt could pose systemic risks to financial markets.

`Albertus - Private Equity Fund Debt Agency Costs and Cash Flow Management.pdf`

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17. When Is the Price of Analysts' Disagreement Risk Positive?

Authors: Alexander David, Amel Farhat
DOI: 10.1017/s0022109026102956

Fields & Theories:

- **Fields:** Asset Pricing, Information Asymmetry, Macro-Finance
- **Theories:** General Equilibrium, Heterogeneous Beliefs, Risk Premium, Flight-to-Safety

Abstract:

We provide robust evidence that the price of analysts' disagreement risk in the cross-section of stock returns changes sign; it's positive (negative) in periods of high (low) disagreement. We construct a general equilibrium model in which analysts have heterogeneous beliefs about aggregate earnings growth. Each asset's risk premium depends on (i) the market portfolio, (ii) the macroeconomic factor, and, (iii) a "squared-beta" factor. (i) decreases and (iii) increases with disagreement as investors choose lower cash flow beta assets during periods of high disagreement. We find support for such a flight-to-safety in the data.

`David - When Is the Price of Analysts' Disagreement Risk Positive.pdf`

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18. Optimal Retirement Saving and Dissaving

Authors: Claus Munk
DOI: 10.1017/s0022109026102968

Fields & Theories:

- **Fields:** Household Finance, Life-cycle Finance
- **Theories:** Life-cycle Utility Maximization, Expected Utility Theory, Annuitization

Abstract:

Applying a rich model of individuals' life-cycle utility maximization, I comprehensively evaluate retirement saving plans. Across a range of individual characteristics, access to basic plans with constant expected payouts and no or full annuitization leads to individual utility gains of up to 5.07% of initial wealth and lifetime income ($43,800 in present value terms), and almost all individuals prefer full annuitization and a target-date fund investment strategy. With flexible plans allowing for partial annuitization and non-constant expected payouts, utility gains go up to 5.81%, and most individuals prefer a high degree of annuitization and expected payouts being increasing through retirement.

`Munk - Optimal Retirement Saving and Dissaving.pdf`

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19. Operational Proximity and Cross-Border Shareholder Monitoring

Authors: Fariborz Moshirian, Peter Pham, Jenny Jihyun Tak
DOI: 10.1017/s0022109026102932

Fields & Theories:

- **Fields:** Corporate Finance, International Finance, Corporate Governance
- **Theories:** Information Asymmetry, Shareholder Activism, Monitoring

Abstract:

Using US mutual funds' international voting records, we investigate whether proximity to firm operations promotes active monitoring by foreign investors. To identify monitoring effects, we exploit variations in proximity arising from existing portfolio firms' actions. We find that after a non-US firm expands operations into the US, US funds cast more dissenting votes at the firm's shareholder meetings, especially in response to poor performance and close-call proposals. The increase in dissent voting is consistent with funds becoming more engaged shareholders as they gain better information. Our findings suggest that cross-border economic activities facilitate the global dissemination of best-practice shareholder activism.

`Moshirian - Operational Proximity and Cross-Border Shareholder Monitoring.pdf`

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20. Political Affiliation and Media Distrust: Evidence from Stock Market Investors

Authors: Mancy Luo, Alberto Manconi, Massimo Massa
DOI: 10.1017/s002210902610297x

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Pricing, Information and Market Efficiency
- **Theories:** Information Asymmetry, Investor Sentiment, Natural Experiment

Abstract:

Does distrust in politically affiliated media induce a bias in investor beliefs? We study the acquisition of Dow Jones & Co. by News Corporation in 2007 as a shock to the political affiliation of Dow Jones outlets. Following the acquisition, the prices of Republican- (Democrat-) aligned stocks become less sensitive to favorable (unfavorable) Dow Jones Newswires (DJNW) sentiment, consistent with the market attaching less credibility to a politically affiliated source. There is, however, no evidence of change in DJNW sentiment, coverage, or language about Republican/Democrat stocks, suggesting a loss of stock price informativeness. Consistent with this view, a portfolio exploiting the attenuated reaction to DJNW news earns abnormal returns following 2007.

`Luo - Political Affiliation and Media Distrust Evidence from Stock Market Investors.pdf`

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21. Stock Buybacks, Speculative Trading, and Shareholder Welfare

Authors: Alvin Chen
DOI: 10.1017/s0022109026102981

Fields & Theories:

- **Fields:** Corporate Finance, Market Microstructure
- **Theories:** Information Asymmetry, Adverse Selection, Game Theory

Abstract:

This article studies buybacks with two informed parties: a manager and an outside speculator. Buybacks introduce two countervailing forces. A competition effect reduces speculator profits when buybacks compete against speculative trades. A dispersion effect increases speculator profits: buying undervalued shares generates gains, while buying overvalued shares generates losses, widening the dispersion in per-share value across states. Sufficiently informed buybacks benefit shareholders; uninformed buybacks harm them. These effects vary with shareholders' liquidity exposures. The desirability of informed buybacks depends on the prevalence of speculation. Authorization depends on ownership, governance, and market conditions. Shareholders might welcome informed buybacks—not merely tolerate them.

`Chen - Stock Buybacks, Speculative Trading, and Shareholder Welfare.pdf`

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22. Trust in Cultural Institutions and Interfirm Cooperation: Evidence from Religious Scandals

Authors: Quentin Dupont, Kayla M. Freeman
DOI: 10.1017/s0022109026102944

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, Supply Chain Finance
- **Theories:** Social Capital Theory, Difference-in-Differences, Information Asymmetry

Abstract:

We study how trust in cultural institutions affects cooperation between firms, employing local religious scandals for identification. We focus on trade credit as a trust-intensive aspect of supply chain relationships. In a triple-difference estimation, we find that firms located in scandal areas where the affected religion is prominent reduce trade credit to customers (relative to sales) by 5 percentage points. Consistent with the scandal damaging local norms of cooperation, results are stronger in relationships with limited history, greater geographic barriers, or transaction complexity. Our findings offer novel causal evidence of the influence of local culture on interfirm relationships.

`Dupont - Trust in Cultural Institutions and Interfirm Cooperation Evidence from Religious.`

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23. Careers in Finance

Authors: Andrew Ellul, Marco Pagano, Annalisa Scognamiglio
DOI: 10.1017/s0022109026102750

Fields & Theories:

- **Fields:** Corporate Finance, Labor and Finance, Financial Intermediation, Household Finance
- **Theories:** Human Capital Theory, Compensating Differentials, Risk-Adjusted Performance Measurement, Labor Market Competition

Abstract:

Past research has documented a substantial finance wage premium. We examine whether this premium reflects differences in lifetime career opportunities. Using resume data, we reconstruct career trajectories in finance and nonfinance sectors and build synthetic measures of career attractiveness that account for compensation levels, growth, and risk. We find that asset management and investment banking provide a sizable risk-adjusted career premium relative to banking, insurance, and other sectors. This premium has

declined across cohorts, particularly relative to high tech. Labor-market entry patterns respond to these premia: potential entrants treat finance and high-tech careers as substitutes when choosing where to start.

`Ellul - Careers in Finance.pdf`

The Review of Financial Studies

1. Borrowing from a Bigtech Platform

Authors: Jian Li, Stefano Pegoraro
DOI: 10.1093/rfs/hhag033

Fields & Theories:

- **Fields:** Financial Intermediation, Fintech, Banking
- **Theories:** Adverse Selection, Screening, Financial Inclusion, Limited Commitment

Abstract:

We model credit competition between a bigtech platform and a bank lending to a merchant under limited commitment and asymmetric information about the merchant' s incentives to default. The platform leverages its control over a marketplace to enforce partial loan repayments, enabling it to serve certain unbanked borrowers. When directly competing with the bank, the platform gains an endogenous screening advantage as borrowers with stronger incentives to default self-select into bank loans to avoid the platform' s enforcement. Whereas the platform improves financial inclusion for unbanked borrowers, social welfare may decline because the bank tightens credit in response to adverse screening.

`Li - Borrowing from a Bigtech Platform.pdf`

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2. Who Clears the Market When Passive Investors Trade?

Authors: Marco Sammon, John J Shim
DOI: 10.1093/rfs/hhag032

Fields & Theories:

- **Fields:** Asset Pricing, Corporate Finance, Passive Investing
- **Theories:** Market Clearing, Instrumental Variables, Equity Issuance

Abstract:

We find that firms are the primary sellers who clear the market for index fund buying, providing shares at a nearly one-for-one rate. Most demand-side institutions trade in the same direction as index funds rather than accommodating passive demand. We use two instruments for index fund demand and show that firms causally respond to exogenous passive demand, with prices serving as the coordinating mechanism. Firms satisfy passive demand mostly through nonprimary market issuance, for example, through employee stock-based compensation. Our results suggest that passive investing has systematically supplied capital to firms by enabling equity issuance over the last two decades.

`Sammon - Who Clears the Market When Passive Investors Trade.pdf`

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3. What Drives Momentum and Reversal? Evidence from Day and Night Signals

Authors: Yashar H. Barardehi, Vincent Bogousslavsky, Dmitriy Muravyev
DOI: 10.1093/rfs/hhag036

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Market Microstructure
- **Theories:** Momentum, Underreaction, Hong and Stein (1999) Theory

Abstract:

We study how intraday and overnight components of past returns predict future stock returns from 1926 to 2019. Portfolios formed on past intraday returns display momentum without long-term reversal, whereas portfolios formed on past overnight returns display no momentum. We link this asymmetric day-night pattern to the fact that most trading occurs intraday, which has remained stable over time. Evidence from international stock markets, intraday intervals, and analyst expectations suggests that investors underreact to private information revealed through trading. This underreaction mechanism is most consistent with Hong and Stein' s (1999) theory of momentum.

`Barardehi - What Drives Momentum and Reversal Evidence from Day and Night Signals.pdf`

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4. Voting and Trading on Public Information

Authors: Markus Parlasca, Paul Voss
DOI: 10.1093/rfs/hhag035

Fields & Theories:

- **Fields:** Corporate Finance, Corporate Governance, Asset Pricing
- **Theories:** Information Aggregation, Exit vs. Voice, Rational Expectations

Abstract:

This paper studies how public information, such as proxy advice, affects shareholder voting and, thus, corporate decision-making. We find that while public information improves the voting decisions of uninformed shareholders, it also induces privately informed shareholders to exit rather than to exercise their voice (vote). As a result, public information impairs information aggregation by voting but improves information aggregation by trading. Overall, public information can undermine corporate decision-making. Furthermore, slightly more precise public information can lead to a discontinuous reduction in firm value. Our results give rise to new empirical predictions and have implications for regulation.

`Parlasca - Voting and Trading on Public Information.pdf`

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5. New Frontiers in Household Finance

Authors: Francisco Gomes, Michael Haliassos, Tarun Ramadorai
DOI: 10.1093/rfs/hhag029

Fields & Theories:

- **Fields:** Household Finance, Consumer Finance
- **Theories:** Literature Review, Conceptual Framework

Abstract:

We present and discuss the papers in this special issue. We use the themes that these papers study to illustrate interesting new directions that are being pursued in the household finance literature and highlight open questions on which more work is needed.

`Gomes - New Frontiers in Household Finance.pdf`

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6. Mutual Fund Clienteles

Authors: Daniel Fricke, Stephan Jank, Hannes Wilke
DOI: 10.1093/rfs/hhag019

Fields & Theories:

- **Fields:** Financial Intermediation, Asset Management, Behavioral Finance

- **Theories:** Flow-Performance Sensitivity, Strategic Interactions, Clientele Effects, Monitoring Incentives

Abstract:

Using a unique data set on the ownership composition of euro area equity funds, we find substantial differences in the flow-performance sensitivity across mutual fund clienteles. Households, followed by insurers, display the weakest sensitivity, whereas investment funds—as investors in mutual funds—exhibit the strongest sensitivity. Crucially, these behavioral differences hold within the same fund-quarter, ruling out heterogeneity across funds as a potential driver. We relate these clientele effects to monitoring incentives and balance sheet constraints. Lastly, we find that households respond more strongly to poor performance when surrounded by more performance-sensitive investors, indicating strategic interactions in investor flows.

`Fricke - Mutual Fund Clienteles.pdf`

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7. Remeasuring Scale in Active Management

Authors: Shiyang Huang, Xu Lu, Yang Song, Hong Xiang
DOI: 10.1093/rfs/hhag037

Fields & Theories:

- **Fields:** Asset Management, Financial Intermediation, Mutual Funds, Institutional Investors
- **Theories:** Returns to Scale, Measurement Bias, Portfolio Choice

Abstract:

We show that scale in active equity portfolios is understated by at least 65% because the majority of mutual funds have “twin” institutional vehicles (IVs) managed under the same strategies. Omitting these IVs can severely skew crucial estimates in asset management research: by including IV assets, diminishing returns to scale of active investments is significantly reduced, and dollar value added of active strategies is more substantial and persistent than previously suggested. We further show that IV assets meaningfully influence managers’ portfolio decisions. In addition, these measurement issues apply to common flow measures and extend to passive funds and bond funds.

`Huang - Remeasuring Scale in Active Management.pdf`

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8. Dynamics of Asset Demands with Confidence Heterogeneity

Authors: Adrian Buss, Raman Uppal, Grigory Vilkov
DOI: 10.1093/rfs/hhag041

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, General Equilibrium
- **Theories:** General Equilibrium, Heterogeneous Beliefs, Demand Elasticity

Abstract:

To understand the dynamics of investors' asset demands, we develop a general-equilibrium model driven by a single latent variable: heterogeneity in investors' confidence about mean endowment growth. The model predicts persistent heterogeneity in asset demands and concentrated portfolios. Consistent with the data, limited confidence reduces investors' demand elasticities and makes stock prices excessively volatile—driven by latent demand rather than observable characteristics. The underlying economic mechanisms are driven primarily by investors' desire to hedge changes in future beliefs instead of current disagreement. Finally, consistent with survey data, investors' expectations correlate positively with past returns and negatively with future returns.

`Buss - Dynamics of Asset Demands with Confidence Heterogeneity.pdf`

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9. Machine Forecast Disagreement

Authors: Turan G Bali, Bryan T Kelly, Mathis Mörke, Jamil Rahman
DOI: 10.1093/rfs/hhag042

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Machine Learning
- **Theories:** Heterogeneous Beliefs, Limits to Arbitrage, Short-sale Constraints

Abstract:

We propose a statistical model of heterogeneous beliefs wherein investors are represented as different machine learning model specifications. Investors form return forecasts from their individual models using common data inputs. We measure disagreement as forecast dispersion across investor-models (MFD). Our measure aligns with analyst forecast disagreement but more powerfully predicts returns. We document a large and robust association between belief disagreement and future returns. A decile spread portfolio that sells stocks with high disagreement and buys stocks with low disagreement earns a value-weighted return of 13% per year. Further analyses suggest MFD-alpha is mispricing induced by short-sale costs and limits-to-arbitrage.

`Bali - Machine Forecast Disagreement.pdf`

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10. What Drives Variation in Investor Portfolios? Estimating the Roles of Beliefs and Risk Preferences

Authors: Mark Egan, Alexander MacKay, Hanbin Yang
DOI: 10.1093/rfs/hhag044

Fields & Theories:

- **Fields:** Household Finance, Asset Pricing, Behavioral Finance
- **Theories:** Portfolio Choice Theory, Heterogeneous Beliefs, Risk Preferences, Nonparametric Estimation

Abstract:

We present a portfolio choice demand model that allows for the nonparametric estimation of investors' (subjective) expectations and risk preferences. Using comprehensive 401(k)-plan-level data from 2009 through 2019, we explore heterogeneity in asset allocations using our empirical framework. We recover investors' beliefs about each asset and examine the implications and potential sources of those beliefs. Heterogeneity in expectations across investors accounts for twice as much variation in portfolio holdings as heterogeneity in risk aversion. Belief heterogeneity is partly driven by investors' characteristics and experiences, reflecting local sources of information such as county-level GDP and employers' past performance.

`Egan - What Drives Variation in Investor Portfolios Estimating the Roles of Beliefs and.pdf`

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11. The True Colors of Money: Racial Representation and Asset Management

Authors: Lina Han, Xing Huang, Ohad Kadan, Jimmy Wu
DOI: 10.1093/rfs/hhag038

Fields & Theories:

- **Fields:** Asset Management, Behavioral Finance, Diversity and Inclusion
- **Theories:** Statistical Discrimination, Homophily, Portfolio Choice Theory

Abstract:

We examine the role of race and ethnicity in the mutual fund context at two distinct levels. At the fund manager level, we document a co-racial tilt—funds managed by minority-dominant (White-dominant) teams

allocate larger portfolio weights to minority-led (White-led) firms. This tilt is not associated with superior performance. It diminishes as fund managers gain experience, suggesting the presence of inaccurate statistical discrimination. At the investor level, we find that minority-dominant funds are penalized similarly to White-dominant funds for poor performance but are not rewarded as much for superior performance. Overall, our results uncover race-related investment choices at both levels.

`Han - The True Colors of Money Racial Representation and Asset Management.pdf`

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12. The Effect of Primary Dealer Constraints on Intermediation in the Treasury Market

Authors: Falk Bräuning, Hillary Stein
DOI: 10.1093/rfs/hhag043

Fields & Theories:

- **Fields:** Financial Intermediation, Market Microstructure, Fixed Income, Financial Regulation
- **Theories:** Intermediation Constraints, Shadow Cost of Capital, Value-at-Risk (VaR)

Abstract:

Using confidential microdata, we show that shocks to primary dealers' constraints have significant effects on the U.S. Treasury securities market. We consider two types of constraints: the supplementary leverage ratio and trading desk value-at-risk constraints. In response to tighter constraints, dealers reduce their Treasury positions, triggering a reduction in aggregate turnover and an increase in dealer intermediation margin. Impaired intermediation also amplifies the yield response to net demand shifts and weakens Treasury auction outcomes. Our estimates suggest that the (shadow) cost of dealer constraints is as high as 9% of dealers' profit margins.

`Bräuning - The Effect of Primary Dealer Constraints on Intermediation in the Treasury Marke.pdf`

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13. Broken Relationships: Derisking by Correspondent Banks and International Trade

Authors: Lea Borchert, Ralph De Haas, Karolin Kirschenmann, Alison Schultz
DOI: 10.1093/rfs/hhag045

Fields & Theories:

- **Fields:** Financial Intermediation, International Finance, Banking, International Trade
- **Theories:** Relationship Banking, Information Asymmetry, Supply Chain Finance

Abstract:

We study how terminated correspondent banking relationships affect international trade. Drawing on firm-level export data from emerging Europe, we show that when local banks lose access to correspondent services, their corporate clients, especially small- and medium-sized enterprises, experience significant export declines. Firms only partially offset lost exports with higher domestic sales, resulting in lower total revenues and employment. Other firms cease operations entirely. These firm-level impacts aggregate to lower product-level exports from countries more exposed to correspondent bank retrenchment.

`Borchert - Broken Relationships Derisking by Correspondent Banks and International Trade.pdf`

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14. Smokestacks and the Swamp

Authors: Emilio Bisetti, Stefan Lewellen, Arkodipta Sarkar, Xiao Zhao
DOI: 10.1093/rfs/hhag039

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Public Finance, Political Economy

- **Theories:** Political Economy, Regression Discontinuity, Agency Theory, Externalities

Abstract:

We examine whether politicians affect local firms' industrial pollution, and whether such effects are transmitted through plant-level networks to affect pollution in other regions. We first document that close Democrat wins in U.S. congressional races are associated with lower emissions and higher abatement at the plant level, especially when politicians have strong pro-environmental preferences. We also find evidence of reallocation: firms shift emissions away from areas represented by Democrats. However, reallocation is imperfect: firm-level costs are higher and market-to-book ratios lower if firms' representation is more Democratic. Lower pollution-related illnesses around plants in Democratic districts suggest pass-through effects on local communities.

`Bisetti - Smokestacks and the Swamp.pdf`

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15. The Cost of Regulatory Compliance in the United States

Authors: Francesco Trebbi, Miao Ben Zhang, Michael Simkovic
DOI: 10.1093/rfs/hhag046

Fields & Theories:

- **Fields:** Corporate Finance, Financial Regulation, Labor Economics
- **Theories:** Economies of Scale, Shift-Share Methodology, Regulatory Burden

Abstract:

A key question for studying business dynamism is whether the costs of regulatory compliance fall homogeneously on small and large businesses. Using comprehensive establishment-level occupational microdata and occupation task information, we quantify a firm's compliance costs as the share of wage bill for performing regulatory compliance tasks (RegIndex). We reveal an inverted-U relationship between firms' RegIndex and their size: On average, RegIndex for mid-sized firms with around 500 employees is about 47% greater than that of the smallest firms and 18% greater than that of the largest firms. We further develop a shift-share methodology to disentangle the influence of regulatory requirements and enforcement on driving firms' compliance costs.

`Trebbi - The Cost of Regulatory Compliance in the United States.pdf`

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16. A Dynamic Model of the Racial Wealth Gap

Authors: Sylvain Catherine, Ellen Jiayang Lu, James D Paron
DOI: 10.1093/rfs/hhag047

Fields & Theories:

- **Fields:** Household Finance, Macro-Finance, Public Finance
- **Theories:** Life-Cycle Model, Dynamic Programming, Portfolio Choice Theory

Abstract:

What explains wealth and portfolio differences between black and white Americans? We find that disparities in economic factors explain portfolios well, but only partly explain the wealth gap. In a dynamic setting, economic factors often change optimal saving rates in ways that offset their effects on income and returns. Consequently, their net wealth effect is often limited, making the wealth gap harder to explain. We estimate that differences in income levels, income risk, family structures, mortality, health expenditures, property taxes, mortgage rates, and asset returns explain half of the differential between the racial wealth gap and the racial income gap.

`Catherine - A Dynamic Model of the Racial Wealth Gap.pdf`

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17. Macroeconomic Expectations and Credit Card Spending

Authors: Mikhail Galashin, Martin Kanz, Ricardo Perez-Truglia
DOI: 10.1093/rfs/hhaf079

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Macro-Finance
- **Theories:** Intertemporal Choice Model, Rational Expectations, Randomized Controlled Trial

Abstract:

We examine how macroeconomic expectations affect consumer decisions, using an experiment with 2,872 credit card customers at a large commercial bank. In the experiment, participants are randomized into receiving expert forecasts of inflation and the nominal exchange rate. We find that forecasts shift inflation and exchange rate expectations, but do not change spending or self-reported consumption plans as predicted by standard models of intertemporal choice. Results from a supplementary survey experiment suggest that consumers are sophisticated enough to anticipate nominal rigidities and reduce spending on durables for precautionary reasons, counteracting the effects predicted by standard models of intertemporal optimization.

`Galashin - Macroeconomic Expectations and Credit Card Spending.pdf`

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18. Mutual Fund Flows and the Supply of Capital in Municipal Financing

Authors: Manuel Adelino, Sophia Chiyoung Cheong, Jaewon Choi, Ji Yeol Jimmy Oh
DOI: 10.1093/rfs/hhag048

Fields & Theories:

- **Fields:** Public Finance, Financial Intermediation, Asset Pricing, Municipal Bonds
- **Theories:** Instrumental Variables, Relationship Lending, Supply-Side Effects

Abstract:

This paper investigates how capital supply from mutual funds affects municipal bond financing, making three key contributions. First, we introduce an identification strategy using the rule-based update of Morningstar ratings for 5-year-old funds, isolating supply-side effects from fund and issuer fundamentals. The results indicate that exogenous fund flows increase bond issuance probability and decrease yields. Second, these fund flows lead to more issuances when funds and issuers are connected through underwriters, highlighting relationship lending in municipal bond financing. Third, municipal issuers leverage favorable financing conditions for new issuance of revenue bonds, which translates into higher local house prices.

`Adelino - Mutual Fund Flows and the Supply of Capital in Municipal Financing.pdf`

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19. Generative AI and Asset Management

Authors: Jinfei Sheng, Zheng Sun, Baozhong Yang, Alan L Zhang
DOI: 10.1093/rfs/hhag050

Fields & Theories:

- **Fields:** Asset Management, Financial Technology, Information Asymmetry
- **Theories:** Difference-in-Differences, Information Processing, Human Capital Theory

Abstract:

Using a novel measure of investment companies' reliance on generative artificial intelligence (GenAI), we document a sharp increase in GenAI usage by hedge funds after ChatGPT's 2022 launch. A difference-in-differences test shows that hedge funds adopting GenAI earn 2-4% higher annualized abnormal returns than nonadopters, while non-hedge funds do not benefit. The outperformance originates from funds' AI talent and ChatGPT's strength in analyzing firm-specific information. We conduct a new survey of fund managers'

GenAI usage to provide direct validation of our measure and offer additional new insights on how managers adopt GenAI tools in their practice.

`Sheng - Generative AI and Asset Management.pdf`

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20. Collective Moral Hazard, Risk Sharing, and Banking Unions

Authors: Anatoli Segura, Sergio Vicente
DOI: 10.1093/rfs/hhag024

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, International Finance, Financial Regulation
- **Theories:** Moral Hazard, Agency Theory, Risk Sharing, Optimal Contracting

Abstract:

We analyze optimal cross-country risk sharing and bank capital requirements amid collective moral hazard by governments and banks. Transfers provide insurance but weaken fiscal discipline. Since lenient fiscal policies amplify banks' risk-shifting, optimal support must be contingent on banking system health. For fiscally weak countries, support is larger in sovereign crises with solvent banks. For fiscally strong countries, support is larger in joint sovereign and bank crises, requiring deposit insurance mutualization. Optimal contracts feature lower capital requirements than without cross-country transfers, raising the cost of joint sovereign and bank crises to strengthen fiscal discipline and enable greater risk sharing.

`Segura - Collective Moral Hazard, Risk Sharing, and Banking Unions.pdf`

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21. Proud to Not Own Stocks: How Identity Shapes Financial Decisions

Authors: Luca Henkel, Christian Pugnaghi-Zimpelmann
DOI: 10.1093/rfs/hhag034

Fields & Theories:

- **Fields:** Behavioral Finance, Household Finance
- **Theories:** Identity Theory, Social Identity, Stock Market Participation Puzzle

Abstract:

This paper introduces a key factor influencing households' decision to invest in the stock market: how people view stockholders. Using surveys we conducted with nearly 8,500 individuals from 11 countries, we document that a large majority hold negative views of stockholders based on identity-relevant characteristics. Linking survey and administrative data, we find that negative perceptions strongly predict households' stock market participation. We show that negative perceptions causally influence household decision-making and provide evidence supporting identity concerns as the underlying mechanism. Our findings provide new perspectives on the malleability of financial decision-making and a novel explanation for low stock market participation.

`Henkel - Proud to Not Own Stocks How Identity Shapes Financial Decisions.pdf`

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22. Firm-Level Labor Shortage Exposure

Authors: Jarrad Harford, Qiyang He, Buhui Qiu
DOI: 10.1093/rfs/hhag049

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, Asset Pricing
- **Theories:** Labor-Capital Substitution, Information Extraction, Market Efficiency

Abstract:

We extract information from earnings call transcripts to develop a comprehensive and reliable measure of labor shortage exposure. After validating the measure at the state, industry, and firm levels, we show that firms with labor shortage exposures experience lower earnings call CARs, future stock returns and operating performance. Firms respond to labor shortages by substituting labor with capital and R&D investments, and by producing more production-process patents. Such responses help mitigate the negative effects on future performance. Our measure has broad applicability, and our findings provide new insight into labor-capital substitution in imperfectly competitive labor markets.

`Harford - Firm-Level Labor Shortage Exposure.pdf`

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23. Do Mutual Funds Walk the Talk? Evidence from Fund Risk Disclosure

Authors: Jinfei Sheng, Nan Xu, Lu Zheng
DOI: 10.1093/rfs/hhag020

Fields & Theories:

- **Fields:** Financial Intermediation, Financial Regulation, Asset Management
- **Theories:** Information Asymmetry, Disclosure Theory, Textual Analysis

Abstract:

We examine the informativeness of fund risk disclosure by combining fund returns and textual data. We develop a novel measure, INF, to capture the explanatory power of disclosed risks for fund returns. Average INF is 55% after controlling for market risk and remains 26–29% after excluding risks related to fund name or strategy. We explain variations in INF through disclosure costs and benefits: (1) Funds with less informative disclosures face SEC comment letters and reduced flow, (2) informative disclosures attract institutional flows, and (3) performance concerns may disincentivize disclosure. Overall, funds face trade-offs between transparency and maintaining their competitive advantage.

`Sheng - Do Mutual Funds Walk the Talk Evidence from Fund Risk Disclosure.pdf`

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24. Global Capital and Local Assets: House Prices, Quantities, and Elasticities

Authors: Caitlin S Gorback, Benjamin J Keys
DOI: 10.1093/rfs/hhag040

Fields & Theories:

- **Fields:** Real Estate Finance, International Finance, Asset Pricing
- **Theories:** Supply and Demand Elasticity, Instrumental Variables, Capital Flow Theory

Abstract:

We estimate price elasticities of housing supply for U.S. cities by examining the impact of foreign purchases on housing prices and quantities. After other countries introduced foreign-buyer taxes beginning in 2011, both house prices and quantities increased more in locations with high foreign-born populations. An increase in global capital inflows, instrumented with tax policy changes scaled by immigrant exposure, increased prices and quantities over 2011–2018. We combine these estimates to construct new local supply elasticities, which average 0.26 and range from 0.06 to 0.9. Compared to prior estimates, our elasticities are more inelastic and change cities' relative rankings.

`Gorback - Global Capital and Local Assets House Prices, Quantities, and Elasticities.pdf`

Review of Finance

1. Tail risk and asset prices in the short-term

Authors: Caio Almeida, Gustavo Freire, René Garcia, Rodrigo Hizmeri
DOI: 10.1093/rof/rfag014

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives, Risk Management
- **Theories:** Risk-Neutral Pricing, Tail Risk, Factor Models, Equity Premium

Abstract:

> We combine high-frequency stock returns with risk-neutralization to extract the daily common component of tail risks perceived by investors in the cross-section of firms. Our tail risk measure significantly predicts the equity premium and variance risk premium at short horizons. Furthermore, a long–short portfolio built by sorting stocks on their recent exposure to tail risk generates abnormal returns with respect to standard factor models. Incorporating investors' preferences via risk-neutralization is fundamental to our findings: the predictive power of the physical tail risk is weaker and generally subsumed by its risk-neutral counterpart.

`Almeida - Tail risk and asset prices in the short-term.pdf`

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2. Behavioral messages and debt repayment

Authors: Giorgia Barboni, Juan Camilo Cárdenas, Nicolás de Roux
DOI: 10.1093/rof/rfag015

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Banking
- **Theories:** Social Norms, Randomized Controlled Trial (RCT), Nudging

Abstract:

> We conduct a randomized experiment involving 7,063 late-paying clients of a large Colombian bank to compare the effects of text messages that leverage different behavioral motives on loan delinquency. Our results show that receiving a message decreases the likelihood of borrowers being late by 4 percent. The effects are more pronounced and persistent when messages leverage social norms. Using machine learning tools, we find that the effects are higher among borrowers with higher credit scores and unsecured loans. A second experiment shows that this type of message is ineffective in preventing on-time borrowers from falling into loan delinquency.

`Barboni - Behavioral messages and debt repayment.pdf`

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3. Regulating zombie mortgages

Authors: Jonathan Lee, Duc Duy Nguyen, Huyen Nguyen
DOI: 10.1093/rof/rfag008

Fields & Theories:

- **Fields:** Financial Intermediation, Real Estate Finance, Financial Regulation, Banking
- **Theories:** Difference-in-Differences, Moral Hazard, Screening and Monitoring, Strategic Default

Abstract:

> Using the adoption of Zombie Property Laws (ZL) across several US states, we show that requiring lenders to maintain properties in the foreclosure process affects mortgage lending decisions and standards. Difference-in-differences estimations using a state border design show that ZL incentivizes lenders to screen mortgage applications more carefully: they deny more applications and impose higher interest rates on originated loans, especially risky loans. In turn, these loans exhibit higher ex post performance. ZL also affects lender behavior after borrowers become distressed, causing them to strategically keep delinquent mortgages alive. Our findings inform the debate on policy responses to foreclosure crises.

`Lee - Regulating zombie mortgages.pdf`

4. How perception affects house prices: evidence from failed auctions

Authors: Kristle R Cortés, Mandeep Singh, David H Solomon, Philip E Strahan
DOI: 10.1093/rof/rfag003

Fields & Theories:

- **Fields:** Real Estate Finance, Behavioral Finance
- **Theories:** Behavioral Bias, Instrumental Variables, Fixed Effects

Abstract:

In the Australian real estate market, about a third of properties are sold at auction. Properties that fail auctions sell later for a 1.3 percent discount. Consistent with a causal channel, the effect holds with property-level fixed effects and when auction failure is instrumented by adverse weather or seller overvaluation. Prices cluster below round numbers, and the discount fades over time, inconsistent with our effects reflecting unobserved property characteristics. The evidence suggests that there are behavioral factors affecting the valuations of buyers and sellers.

`Cortés - How perception affects house prices evidence from failed auctions.pdf`

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5. Porter might be right: environmental policy, innovation, and product differentiation

Authors: Wensi Xie
DOI: 10.1093/rof/rfag013

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Public Finance
- **Theories:** Porter Hypothesis, Financial Constraints, Difference-in-Differences

Abstract:

We evaluate the effects of environmental regulation on corporate innovation and real outcomes. Exploiting plant-level regulatory shocks induced by the 1990 Clean Air Act Amendments, we identify firms' exposure to stricter environmental standards based on whether their plants emit newly regulated pollutants in counties designated as nonattainment. We show that firms more heavily exposed to the regulatory shock increase green innovation, including green process and green product patents, with no corresponding changes in nongreen patenting. The innovation-enhancing effects are concentrated among firms in industries with low external finance dependence and are stronger in areas with more intensive environmental enforcement. In addition, employment declines in response to the regulatory shock, and the effects are more pronounced among firms relying heavily on external finance. Overall, the results support the Porter hypothesis while highlighting the roles of financial capacity and enforcement intensity in shaping firms' innovation and labor responses to environmental regulation.

`Xie - Porter might be right environmental policy, innovation, and product differentiat.pdf`

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6. The unintended impact of the Volcker rule on primary market bond pricing: evidence from the Rule 144A bond market

Authors: Eric Powers, Donghang Zhang, Yafei Zhang
DOI: 10.1093/rof/rfag018

Fields & Theories:

- **Fields:** Financial Regulation, Fixed Income, Market Microstructure, Corporate Finance
- **Theories:** Liquidity Premium, Regulatory Impact Analysis, Difference-in-Differences

Abstract:

We study how the Volcker rule affects bond pricing in the pritmary market. Following implementation, Volcker-affected bonds have greater credit spreads at issuance than non-affected bonds. Bond liquidity in the year after issuance is also negatively affected by the Volcker rule. These effects are concentrated in the Rule 144A bond market. The Volcker rule' s impacts on credit spreads and liquidity are stronger for bonds with lower expected liquidity. The results suggest that expected liquidity deterioration due to the Volcker rule increases the liquidity premium demanded by primary market investors.

Powers - The unintended impact of the Volcker rule on primary market bond pricing evidenc.pdf

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